

Apple Inc.
AAPL NASDAQ

Hold \$329.63 ▼ 1.04% 12M Price Target \$355.00 52-Week Range \$236.32 – \$344.57 Market Cap \$4.81T

AAPL: India Repair Probe Bites, iPhone Cycle Holds Up

WHAT HAPPENED

- AAPL slipped ~1% on news that India escalated its investigation into Apple's iPhone repair practices — this matters because India is Apple's fastest-growing market AND its emerging manufacturing hub (they've been shifting production out of China to dodge tariffs). Regulatory friction there is a bigger deal than the price move suggests.
- The broader tape was ugly for tech (-0.18%) as rising oil prices and Treasury yields spooked investors — when yields rise, expensive stocks like AAPL (trading at ~42x earnings) get hit harder because future profits are worth less in today's dollars.

WHY IT MATTERS

The India probe is the story to watch — Apple has been publicly pitching India as its "next China" for both sales and manufacturing, and regulators there are signaling they won't be pushovers on right-to-repair, App Store fees, or antitrust. If India follows the EU's playbook (forcing sideloading, opening the App Store), Apple's Services margin — which is basically pure profit at ~70% gross margin — starts leaking. Meanwhile, insider selling from the General Counsel (four straight weeks of ~\$450K sells) isn't a fire alarm, but when your top lawyer is consistently trimming while regulatory heat rises globally, it's worth noting. The stock at 86% of its 52-week range means a LOT of good news is already priced in — the risk/reward isn't as attractive as it was at \$250.

POLICY & POLITICAL WATCH

Three policy fronts matter right now: (1) US-China tariff posture — Apple still sources the majority of iPhones from China, and any escalation directly compresses margins since they can't fully pass costs to consumers; (2) the India repair/antitrust probe just escalated, threatening the "China+1" manufacturing strategy Apple has spent billions building; (3) the EU's Digital Markets Act enforcement continues to force App Store concessions, and India appears to be copying that framework. The regulatory environment for Big Tech is getting TOUGHER globally, not friendlier — that's a structural headwind for the ~\$100B Services business that's been Apple's growth engine.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$329.63
12M Price Target	\$355.00
Upside / (Downside)	+7.7%
Market Cap	\$4.81T
FY2026E Revenue	\$435M
FY2027E Revenue	\$465M
FY2026E EPS	\$7.85
FY2027E EPS	\$8.60
Fwd P/E	42.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$345.00	\$332.00	\$315.00
6 Months	\$375.00	\$350.00	\$295.00
1 Year	\$400.00	\$355.00	\$280.00
2 Years	\$450.00	\$385.00	\$260.00
5 Years	\$600.00	\$475.00	\$300.00
10 Years	\$900.00	\$650.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2%) is running on rising oil — geopolitical risk premium is back, and that flows through to inflation expectations.

COOLING OFF: Tech (-2% on the week) and Industrials (-2.75%) — rising Treasury yields are the culprit; when you can get 4.5%+ risk-free, expensive growth stocks lose their shine.

ROTATION WATCH: Money is quietly rotating out of mega-cap tech into energy and defensives — this is a classic late-cycle move when investors get nervous about rates staying higher for longer.

RELATED PLAY: If you like the AI-hardware angle but want cheaper exposure, Qualcomm (mentioned in today's news flow) trades at ~15x earnings vs. Apple's 42x and supplies chips into both Apple AND the Android ecosystem — asymmetric upside if the AI-phone cycle plays out.

WHO'S WINNING IN THIS SPACE?

- QCOM (Qualcomm): Getting analyst love as an AI-edge chip play at a fraction of Apple's multiple — smart money starting to accumulate.
- XOM/CVX (Energy names): Riding the oil bid, benefiting from the same macro (yields up, inflation sticky) that's hurting AAPL.

AAPL CONTEXT: Apple is LAGGING the broader mega-cap tech complex this week and trading heavy near its highs. That tells me the marginal buyer is exhausted at these levels — you need a real catalyst (blowout iPhone numbers, an AI announcement) to push through \$345 resistance. Until then, it's a range-trade between \$315-340.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Great business, fair-to-full valuation, mounting regulatory headwinds. Not a table-pounder here.

POSITION SIZE: 3-5% as a core holding — this is a "own it, don't chase it" stock. If you already own it, hold. If you don't, wait for a pullback.

ENTRY POINTS: \$310-315 is where I'd add — that's a ~5-6% pullback and lines up with recent support. Don't chase \$340+.

TIME HORIZON: 12-24 months — the catalyst is either an AI-driven iPhone upgrade supercycle (bull) or clarity on India/EU regulatory outcomes.

WHEN TO BAIL: If iPhone unit sales decline year-over-year for two straight quarters OR India forces App Store opening, the growth story is broken and the multiple needs to compress.

HEDGING: If you're nervous, buy a January put option at the \$310 strike — think of it as insurance that pays off if the stock drops meaningfully. Costs you a small premium but caps your downside.